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|  | <b>Division/Section</b>  | Family Support              |
|                                                                                   | <b>Chapter No./Name</b>  | 4 – Economic Stability (ES) |
|                                                                                   | <b>Part No./Name</b>     | B – Eligibility Factors     |
|                                                                                   | <b>Section No./Name</b>  | B-600-FITAP-SNAP Income     |
|                                                                                   | <b>Document No./Name</b> | B-650-FITAP Deductions      |
|                                                                                   | <b>Effective Date</b>    | August 1, 2021              |

## I. STATEMENT OF POLICY

### B-651-FITAP - PO EARNED INCOME DEDUCTIONS

The following deductions are applied to all earned income, including payments while the employee is on paid sick or vacation leave.

The earned income deductions are:

- standard earned income deduction of \$120 per month
- dependent care deduction (see [B-651-2-FITAP](#)).
- a time-limited deduction of \$900 per month which is applicable for a 6-month lifetime limit

The deductions apply to each employed person who is included in the income unit. (See [B-612-FITAP](#))

Exception: The deduction for the alien sponsor and spouse is outlined in [E-110-FITAP](#).

#### B-651-1-FITAP - PO \$120 Standard Deduction

Allow a standard deduction of \$120 a month for each employed household member whose income is used to determine need.

#### B-651-2-FITAP - PO Dependent Care Deduction

Deduct cash payments for the cost of caring for an incapacitated adult living in the home if:

- the care is needed for the client to accept or continue employment.

Deduct cash payments for the cost of caring for a child if:

- the child is included in the income unit, and
- the care is needed for the client to accept or maintain employment.

Deduct the out-of-pocket payments of the actual cost of the dependent care. Any portion of the cost that is paid for or reimbursed by the STEP or Child Care Assistance programs is not allowable.

A dependent care deduction may not be allowed for payments made to:

- a parent or legal guardian of the child in care, or

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- a member of the income unit.

\* Allow dependent care deduction for expenses incurred as a result of transporting the child or incapacitated adult to and from the care provider. Transportation expense may be allowed for actual transportation expense incurred or mileage costs. Mileage cost may be allowed if the vehicle used for transportation is leased or owned by a member of the FITAP household and only for additional mileage traveled to transport the child or incapacitated adult to and from care provider. Allowable mileage rate is the current state mileage rate.

**Exception:** The Dependent Care Deduction is not allowable for ineligible aliens. \*\*

The dependent care expense will only be verified if the total \*\*\* \* allowable expenses \*\* paid exceeds \$500 per month or is questionable as defined in [C-1122-5-FITAP](#):

- at initial certification,
- at redetermination, or
- if the household reports a change in the payment amount which would result in an increase in benefits.

### **B-651-3-FITAP - PO \$900 Time-Limited Deduction**

In addition to the \$120 standard deduction and the dependent care deduction, the \$900 time-limited deduction is applied for 6 months when a recipient's earnings exceed the standard deduction plus the amount of the dependent care deduction. The 6 months of the deduction need not be consecutive nor within the same certification period. After the \$900 deduction has been applied for 6 months, the client may not receive this exemption again.

A month in which an ineligible payment is received is not counted as one of the 6 months of the deduction.

Allow the \$900 deduction for each employed household member whose income is used to determine need.

**\* Exception:** The \$900 Time-Limited Deduction is not allowable for ineligible aliens. \*\*

### **B-651-4-FITAP - PO Applications**

In determining initial eligibility for a "new" application, apply the \$120 standard deduction and the dependent care deduction of those eligible clients to the gross earned income of each employed person whose earned income is to be counted. If countable earned income plus unearned income is equal to or exceeds the flat grant, deny the application.

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| <br>Department of<br><b>Children &amp;<br/> Family Services</b><br><i>Building a Stronger Louisiana</i> | <b>Division/Section</b>  | Family Support              |
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Consider the client's request for assistance as a "new" application if cash benefits were not received in Louisiana by anyone in the assistance unit in the month prior to the effective month of certification, except for those clients who did not receive cash due to the \$10 minimum payment.

If the client is found eligible after this pretest, determine benefit level by subtracting the standard deduction, dependent care deduction, and the \$900 time-limited deduction if the client has not previously been allowed the \$900 for 6 months.

If the client has not missed a month of benefits, the pretest is not required and all applicable deductions will be allowed when determining both eligibility and benefit level.

NOTE: A person whose application is being taken for inclusion in an existing FITAP case is not subject to the pretest requirement.

## **II. PROCEDURES**

There are no procedures associated with this policy.

## **III. FORMS AND INSTRUCTIONS**

There are no forms associated with this policy.

## **IV. REFERENCES**

[LAC 67:III.Chapter 12, Subchapter B. Conditions of Eligibility.](#)